

Define the Ethical Dilemma

The ethical dilemma in this case involves choosing between honesty and dishonesty in the workplace. As a manager, I am under pressure to help the company survive financially. An employee, John, suggests increasing the reported sales figures to make the company appear more profitable to investors. While his intention is to save the company, this action requires falsifying financial data, which is both unethical and illegal. The dilemma exists because agreeing to John's suggestion may provide short-term relief but violates ethical standards, while refusing may put the company at further financial risk. This situation creates a conflict between what may seem beneficial in the moment and what is morally and professionally right in the long run.

Identify Stakeholders

Several stakeholders are affected by this decision. First are the investors, who depend on accurate financial information to make informed decisions. Misleading them could result in financial losses and loss of trust. Second are the employees, including John and other staff members, whose jobs depend on the company's survival. However, they could also face serious consequences if fraudulent actions are exposed. Third is company management, who are responsible for ensuring ethical operations and protecting the company's reputation. Lastly, the company itself is a stakeholder, as its credibility, legal standing, and future success are directly impacted by ethical or unethical decisions.

Evaluate Possible Actions

One possible action is to accept John's suggestion and falsify the sales figures, which may attract investors and temporarily stabilize the company. However, this option carries serious ethical and legal risks, including loss of reputation, legal penalties, and long-term damage if the fraud is discovered. Another option is to refuse the suggestion and report the issue to higher management or the appropriate ethics office. While this choice upholds honesty and integrity, it may create tension in the workplace and result in immediate financial challenges. A third option is to seek ethical and legal alternatives, such as reducing expenses, restructuring operations, or being

transparent with investors about the company's situation. Although this approach may be more difficult, it helps maintain trust and avoids legal and ethical violations.

Decision-Making Process

To resolve this dilemma, I would use an ethical decision-making framework. First, I would clearly identify the problem and understand the risks involved. Next, I would evaluate all possible options while considering company policies, laws, and ethical standards. I would then choose the option that aligns with honesty, fairness, and responsibility. Ethical considerations would be central to my decision, ensuring that my actions do not harm stakeholders or compromise my professional integrity.

Apply Ethical Theories

- virtue ethics perspective, the decision should reflect good character traits such as honesty, fairness, and integrity. A virtuous manager would refuse to lie, even under pressure.
- utilitarianism, the focus is on the greatest good for the greatest number. Although falsifying data may help the company temporarily, the potential harm to investors, employees, and public trust outweighs the short-term benefits.
- deontological ethics, actions are judged based on rules and duties. Lying and falsifying records are inherently wrong, regardless of the outcome. Therefore, this theory strongly supports refusing to manipulate the data.

Conclusion

My final decision is to refuse to falsify the sales figures and instead pursue ethical and transparent solutions. While the company's financial situation is challenging, dishonesty can cause far greater harm in the long run. As a manager, I have a responsibility to act with fairness, honesty, and integrity. By choosing ethical actions, I protect the interests of all stakeholders, maintain trust, and set a positive example in the workplace. Upholding ethical values ensures long-term stability and credibility, which are essential for any organization's success.